WEEK 4 · LECTURE L1 · UNIT II

HRIS: The System of Record

What an HRIS does, how to choose one, and the hidden cost of integration.

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DSEH001 · Digital Transformation in Human Resource Systems · M.Com. PGCF 2025 · Exam preparation edition

AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Distinguish HRIS, HRMS and HCM suites, and explain the system of record.
- Evaluate the suite versus best-of-breed choice, and the build, buy or configure choice.
- Explain what four decades of e-HRM research show about adoption and outcomes.
- Apply DeLone and McLean, transaction cost economics, socio-technical theory and Lepak and Snell to HRIS decisions.

COURSE OUTCOMES

CLO 2 (digital platforms across HRM domains and integration).

OPENING QUESTION

When the CFO asks how many people work here, which system answers?

Two HRIS
An old on-premise system and a new cloud pilot both hold employee records.

Separate payroll
Payroll runs apart from both, with its own employee list.

Spreadsheets
Managers keep private trackers because no system is trusted.

If three systems give three answers, the organization does not have a system of record. That is the problem this lecture addresses.

SCOPE

HRIS, HRMS and HCM are steps in scope

Term	What it covers
HRIS	The core record: who works here, in what role, reporting to whom
HRMS	The record plus transactions: payroll, leave, attendance
HCM suite	Transactions plus talent: hiring, learning, performance, analytics

EXAM LENS

Use the terms precisely. Vendors use them loosely; examiners do not.

THE SYSTEM OF RECORD

One employee, one record

Definition

The single authoritative source for each fact about an employee. Other systems read from it; none overwrites it.

Why it fails

Two systems both claiming to be the record produce conflicting truths and endless reconciliation.

The tell-tale sign

Universal use of spreadsheets alongside low satisfaction: people fall back on what they control when no system is trusted.

THE ARCHITECTURE CHOICE

Suite or best of breed

	Integrated suite	Best of breed
Strengths	One vendor and data model; integration built in	Strongest tool for each module; modules upgrade independently
Weaknesses	Weaker in some modules; harder to leave the vendor	Every pair of tools needs a connector; definitions drift apart
Works when	Processes are standard and integration capacity is low	One core HRIS holds the record and every other tool reads from it

EXAM LENS

There is no universally right answer. Strong answers state the conditions under which each choice is better.

SOURCING THE SYSTEM

Build, buy or configure

Route	Fits when	Main risk
Build	The process is a genuine source of advantage	Depends on a few people; maintenance burden
Buy	The process is standard	Fit gaps, vendor lock-in, data residency
Configure	A bought platform needs local fit	Heavy customization turns into a hidden build

THE HIDDEN COST

Integration does not appear on the invoice

The arithmetic

With n systems, the possible point-to-point links are n(n − 1) ÷ 2. Sixteen systems give 120 possible links.

Every gap has a cost

Each unconnected system adds reconciliation, duplicate entry and a spreadsheet to bridge the gap.

The design response

A hub: one system of record, with other tools reading from it, cuts the links needed to roughly one per system.

BONDAROUK, PARRY AND FURTMUELLER (2017)

What four decades of e-HRM research show

Three groups of adoption factors

Technology, organization and people factors must all line up.

Efficiency is proven

The strongest evidence is for faster, cheaper, more accurate administration.

Strategy is not automatic

Evidence for strategic or relational gains is thinner and depends on implementation and acceptance.

The same software produces different results in different organizations. Implementation and acceptance, not the product, explain the difference.

THEORY IN DEPTH · DELONE AND MCLEAN (1992, 2003)

What makes an information system succeed

THE CORE IDEA

Success is a chain: system, information and service quality lead to use and satisfaction, which lead to net benefits.

HOW IT WORKS

Quality dimensions drive both use and user satisfaction; together they produce benefits for individuals and the organization.

LIMITS AND CRITIQUE

Use is ambiguous when it is mandatory: forced use says little about success.

IN PRACTICE

Payroll systems show near-universal use because everyone must be paid; satisfaction is the better signal of success there.

EXAM LENS

Distinguish voluntary from mandatory use when evaluating any HR system's success.

THEORY IN DEPTH · WILLIAMSON (1985)

Build, buy or configure is a transaction cost choice

THE CORE IDEA

Firms decide whether to make or buy by comparing the costs of organizing each transaction.

HOW IT WORKS

High asset specificity and uncertainty favor making in-house; standard needs favor buying.

LIMITS AND CRITIQUE

It underplays capabilities and learning, which can matter more than transaction costs.

IN PRACTICE

Payroll is standard, so buy it; a vernacular frontline interface fitted to a specific workforce is specific, so configure or build.

EXAM LENS

Use asset specificity as the deciding concept; then add the capability critique.

THEORY IN DEPTH · TRIST AND BAMFORTH (1951)

Optimize the social and technical systems together

THE CORE IDEA

In British coal mines, new machinery broke up work groups and productivity fell.

HOW IT WORKS

Joint optimization: design technology and work organization together, not one after the other.

LIMITS AND CRITIQUE

Some argue it suits industrial work more than knowledge work, though its core point travels well.

IN PRACTICE

An HRIS rollout that ignores how frontline managers actually work will be worked around.

EXAM LENS

Socio-technical theory is the classic argument against treating HR technology as purely technical.

THEORY IN DEPTH · LEPAK AND SNELL (1998)

Information technology can change HR in three ways

THE CORE IDEA

Technology can have operational, relational and transformational effects on HR.

HOW IT WORKS

Operational: automate transactions. Relational: connect people. Transformational: change HR's role.

LIMITS AND CRITIQUE

Most organizations stop at operational gains, which are easiest to measure.

IN PRACTICE

A business case that reaches only operational effects produces a cheaper paper process, not a transformation.

EXAM LENS

Classify the claimed benefits of any HR system into the three levels; this shows depth of analysis.

PRACTICE FOR THE END-TERM EXAMINATION

Questions to rehearse

Critically evaluate the choice between an integrated HCM suite and a best-of-breed architecture for a large Indian organization with a dispersed frontline workforce. **20 marks**

A strong answer: defines both; compares on integration, fit, lock-in and data residency; uses transaction cost logic; concludes conditionally around the system of record.

"The same HR software produces different results in different firms." Discuss with reference to e-HRM research and socio-technical theory. **20 marks**

A strong answer: summarizes Bondarouk et al.'s three factor groups; uses Trist and Bamforth; distinguishes operational from transformational outcomes (Lepak and Snell).

Explain the DeLone and McLean model and why mandatory use complicates it. **10 marks**

A strong answer: states the chain from quality to benefits and explains why use is a weak measure when mandatory.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. **One employee, one record**
   A system of record is the foundation every other tool depends on.

2. **Integration is the hidden cost**
   Every system bought before the record is settled becomes another spreadsheet.

3. **Efficiency is proven; transformation is not automatic**
   Implementation and acceptance decide the outcome.

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

- Bondarouk, T., Parry, E., & Furtmueller, E. (2017). Electronic HRM: Four decades of research on adoption and consequences. *IJHRM, 28*(1), 98–131.
- Kavanagh, M. J., & Johnson, R. D. (2018), Ch 1 (what an HRIS is; e-HRM versus HRIS) and Ch 3 (HRIS architecture, cloud, mobile, best of breed).

COMPANION

Each set reading is explained in the matching Unit Reader on rksingh.tech/materials.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture

Works named on the slides of this lecture. They are background sources, not set readings.

Bondarouk, T., Parry, E., & Furtmueller, E. (2017). Electronic HRM: Four decades of research on adoption and consequences. *The International Journal of Human Resource Management, 28*(1), 98–131. https://doi.org/10.1080/09585192.2016.1245672

DeLone, W. H., & McLean, E. R. (1992). Information systems success: The quest for the dependent variable. *Information Systems Research, 3*(1), 60–95. https://doi.org/10.1287/isre.3.1.60

DeLone, W. H., & McLean, E. R. (2003). The DeLone and McLean model of information systems success: A ten-year update. *Journal of Management Information Systems, 19*(4), 9–30. https://doi.org/10.1080/07421222.2003.11045748

Kavanagh, M. J., & Johnson, R. D. (Eds.). (2018). *Human resource information systems: Basics, applications, and future directions* (4th ed.). Sage.

Lepak, D. P., & Snell, S. A. (1998). Virtual HR: Strategic human resource management in the 21st century. *Human Resource Management Review, 8*(3), 215–234. https://doi.org/10.1016/s1053-4822(98)90003-1

Trist, E. L., & Bamforth, K. W. (1951). Some social and psychological consequences of the longwall method of coal-getting. *Human Relations, 4*(1), 3–38. https://doi.org/10.1177/001872675100400101

Sources for this lecture (continued)

Williamson, O. E. (1985). *The economic institutions of capitalism*. Free Press.